

Living Through a Bubble Crash

BEAR MARKETS TYPICALLY wipe out years' worth of gains.

Think back to the 2000–02 crash. The dotcom implosion saw the Nasdaq fall 81% peak to trough. By October 2002, the NDX had fallen to 815—levels not previously seen since early 1997 or late 1996!

It is worthwhile to delve deeper into various crash scenarios for those of you who have not been paying attention (or were not yet alive) during the unwind of the last few bubbles.

Understanding it intellectually is easy, but truly grokking the forces at work on people's psyches during a crash is challenging. Some have said it is similar to warfare: You can try to imagine what it's like, but only those who have lived through the terror truly understand its intensity and magnitude.

Our frame of reference is the Nasdaq-100, traded as the QQQs. Nasdaq was where all the action was in the 1990s. I won't bore you with war stories from trading that era; but being a trader or a strategist or a portfolio manager through that boom and crash is supposed to have been a once-in-a-lifetime experience (if only!). You could not help but learn about psychology, risk management, human behavior, and more—so long as you were not hiding underneath your desk.

I have lived through several other 30%+ crashes besides the dotcom implosion. There was the GFC in 2008–09, and the Covid 2020 crash. Prior to that, the 1973–74 inflation/stagflation/oil embargo/malaise led to a 56% crash (I was distracted prepping for my bar mitzvah); and the 1987 crash (also distracted, this time in my second year of law school). But none of those examples were stock market bubbles. The 1990s was a singular experience. Here is what stood out to me from those years:

- **Skill and experience:** Good traders use many strategies to their advantage: They could pyramid, for example add to successful